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SECURITIES AND EXCHANGE BOARD OF INDIA

NOTIFICATION

Mumbai, the 4th of June, 2019

**SECURITIES CONTRACTS (REGULATION) (STOCK EXCHANGES AND
CLEARING CORPORATIONS) (AMENDMENT) REGULATIONS, 2019**

No. **SEBI/LAD-NRO/GN/2019/21**.- In exercise of the powers conferred by sections 4, 8A and 31 of the Securities Contracts (Regulation) Act, 1956, read with sections 11 and 30 of the Securities and Exchange Board of India Act, 1992, the Securities and Exchange Board of India hereby makes the following regulations to further amend the Securities Contracts (Regulation) (Stock Exchanges and Clearing Corporations) Regulations, 2018, namely:—

1. These regulations may be called the Securities Contracts (Regulation) (Stock Exchanges and Clearing Corporations) (Amendment) Regulations, 2019.
2. Save as otherwise specifically provided for in these regulations, they shall come into force on the date of their publication in the Official Gazette.
3. In the Securities Contracts (Regulation) (Stock Exchanges and Clearing Corporations) Regulations, 2018, -

- (i) in regulation 2, in sub-regulation (1), clause (g) shall be omitted.

The aforesaid amendment shall be deemed to have come into force with effect from October 3, 2018.

- (ii) in regulation 29, in sub-regulation (2),

- a) clause (a) shall be substituted with the following words:

“Member and Core Settlement Guarantee Fund committee;”

- b) in clause (b), the word “investor” shall be omitted.

- (iii) in regulation 35, after sub-regulation (1) and prior to sub-regulation (2), the following proviso shall be inserted, namely,-

“Provided that in case a recognised stock exchange enters into an arrangement with more than one recognised clearing corporation, it shall enter into a multipartite agreement in writing with such recognised clearing corporations to ensure interoperability among the clearing corporations.”

- (iv) in regulation 37, in sub-regulation (1), the proviso shall be omitted.

- (v) in regulation 38, in sub-regulation (2), in the second proviso, the word “except” shall be omitted.

- (vi) in regulation 42, in sub-regulation (3), after the words and symbols “Articles/Rules/Bye-laws” the word and symbol “/Regulations” shall be omitted.

- (vii) after regulation 43 and prior to regulation 44, the following regulation shall be inserted, namely;-

“Obligation of Clearing Corporation in Commodity Derivatives

43A. Every recognized Clearing Corporation providing clearing and settlement services for commodity derivatives shall ensure guarantee for settlement of trades including good delivery.

Explanation: For the purpose of this regulation, “good delivery” shall mean the delivery of goods that is in proper form to transfer title and is of the quality and quantity as per contract specifications of the concerned exchange.”

The aforesaid amendment shall deemed to have come into force with effect from October 3, 2018.

(viii) in SCHEDULE - II, in PART - E,

- a) in the heading, the symbol and word “/Regulations” shall be omitted.
- b) in clause (2),
 - a. in the heading, after the words and symbols “Articles/Rules/Bye-laws” the symbol and word “/Regulations” shall be omitted.
 - b. after the word “bye-laws” the symbol and word “, Regulations” shall be omitted.

(ix) in SCHEDULE - II, in PART - H, under the sub-heading “Managing Director / Executive Director:-”, in clause (1), the following words and symbols “In case of re-appointment, or extension of appointment, the stock exchange/clearing corporation shall apply to the Board two months before the last working day of such Managing Director.” shall be substituted by the following, namely,-

“The stock exchange/ clearing corporation shall forward the new names to the Board before two months from the last working day of the existing Managing Director.”

(x) in SCHEDULE - II, in PART - H, under the heading “Appointment of Directors”, -

- a) the symbols “(I)” shall be inserted before the sub-heading “Procedure for appointment:-”;
- b) the symbols “(II)” shall be inserted before the sub-heading “Managing Director / Executive Director:-”;
- c) the symbols “(III)” shall be inserted before the sub-heading “Public Interest Directors:-”;
- d) the symbols “(IV)” shall be inserted before the sub-heading “Share Holder Directors”;
- e) the symbols “(V)” shall be inserted before the sub-heading “Selection of trading members/clearing members on the Advisory Committee to the governing board:-”;
- f) the symbols “(VI)” shall be inserted before the sub-heading “General conditions on appointment of directors:-”.

Sd/-

AJAY TYAGI

CHAIRMAN

SECURITIES AND EXCHANGE BOARD OF INDIA

Footnote:

1. The Securities Contracts (Regulation) (Stock Exchanges and Clearing Corporations) Regulations, 2018 were published in the Gazette of India on 3rd October 2018 vide No. SEBI/LAD-NRO/GN/2018/41.
